3 Adjusting The Accounts

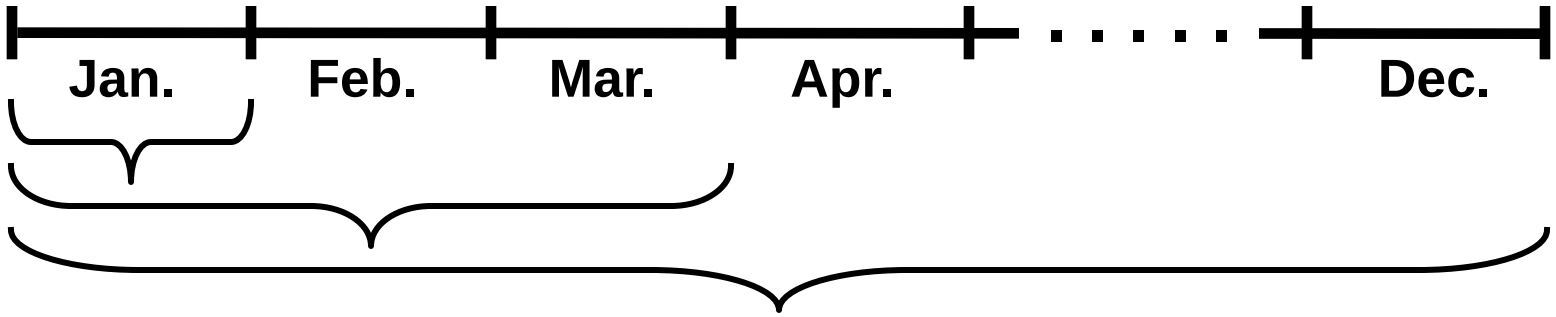
Learning Objectives

1. Explain the accrual basis of accounting and the reasons for adjusting entries.
2. Prepare adjusting entries for deferrals.
3. Prepare adjusting entries for accruals.
4. Describe the nature and purpose of an adjusted trial balance.

LEARNING OBJECTIVE 1

Explain the accrual basis of accounting and the reasons for adjusting entries.

Accountants divide the economic life of a business into artificial time periods (**Time Period Assumption**).



Generally a

- **month**,
- **quarter**, or
- **year**.

Alternative Terminology
The time period assumption is also called the *periodicity assumption*.

LO 1

Fiscal and Calendar Years

- Monthly and quarterly time periods are called **interim periods**.
- Most large companies must prepare both **quarterly** and **annual** financial statements.
- **Fiscal Year** = Accounting time period that is **one year** in length.
- **Calendar Year** = January 1 to December 31.

LO 1

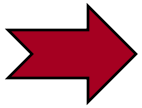
Fiscal and Calendar Years

Question

The time period assumption states that:

a. revenue should be recognized in the accounting period in which it is earned.

b. expenses should be matched with revenues.



c. the economic life of a business can be divided into artificial time periods.

d. the fiscal year should correspond with the calendar year.

LO 1

Accrual- versus Cash-Basis Accounting

Accrual-Basis Accounting

- Transactions recorded in the **periods in which the events occur**.
- Companies **recognize revenues when they perform services** (rather than when they receive cash).
- **Expenses** are recognized when **incurred** (rather than when paid).
- In accordance with **generally accepted accounting principles (GAAP)**.

LO 1

Accrual- versus Cash-Basis Accounting

Cash-Basis Accounting

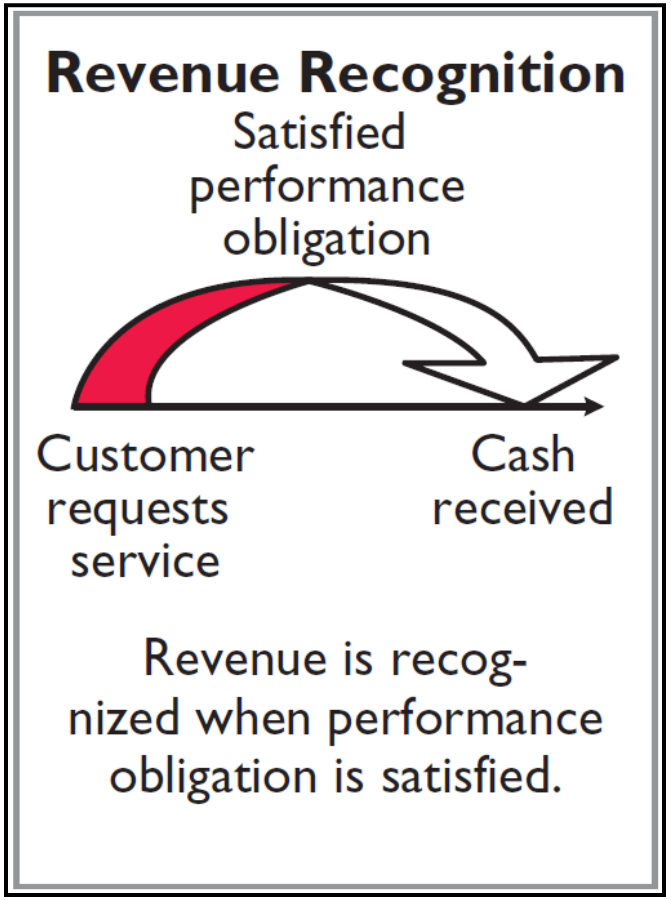
- **Revenues** recognized when **cash is received**.
- **Expenses** recognized when **cash is paid**.
- Cash-basis accounting is **not in accordance with generally accepted accounting principles (GAAP)**.

LO 1

Recognizing Revenues and Expenses

REVENUE RECOGNITION PRINCIPLE

Recognize revenue in the accounting period in which the **performance obligation** is satisfied.



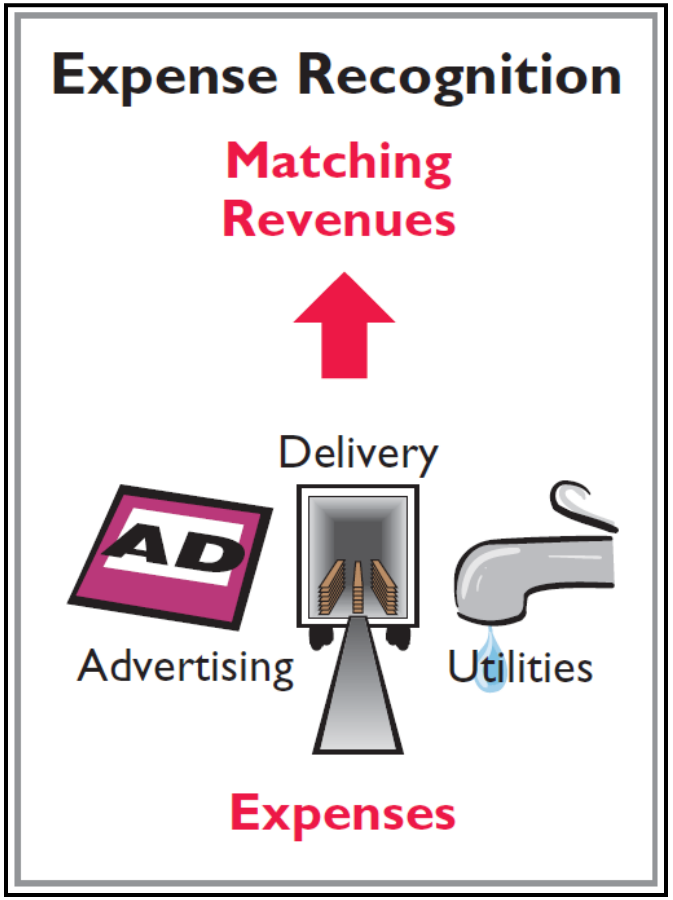
LO 1

Recognizing Revenues and Expenses

EXPENSE RECOGNITION PRINCIPLE

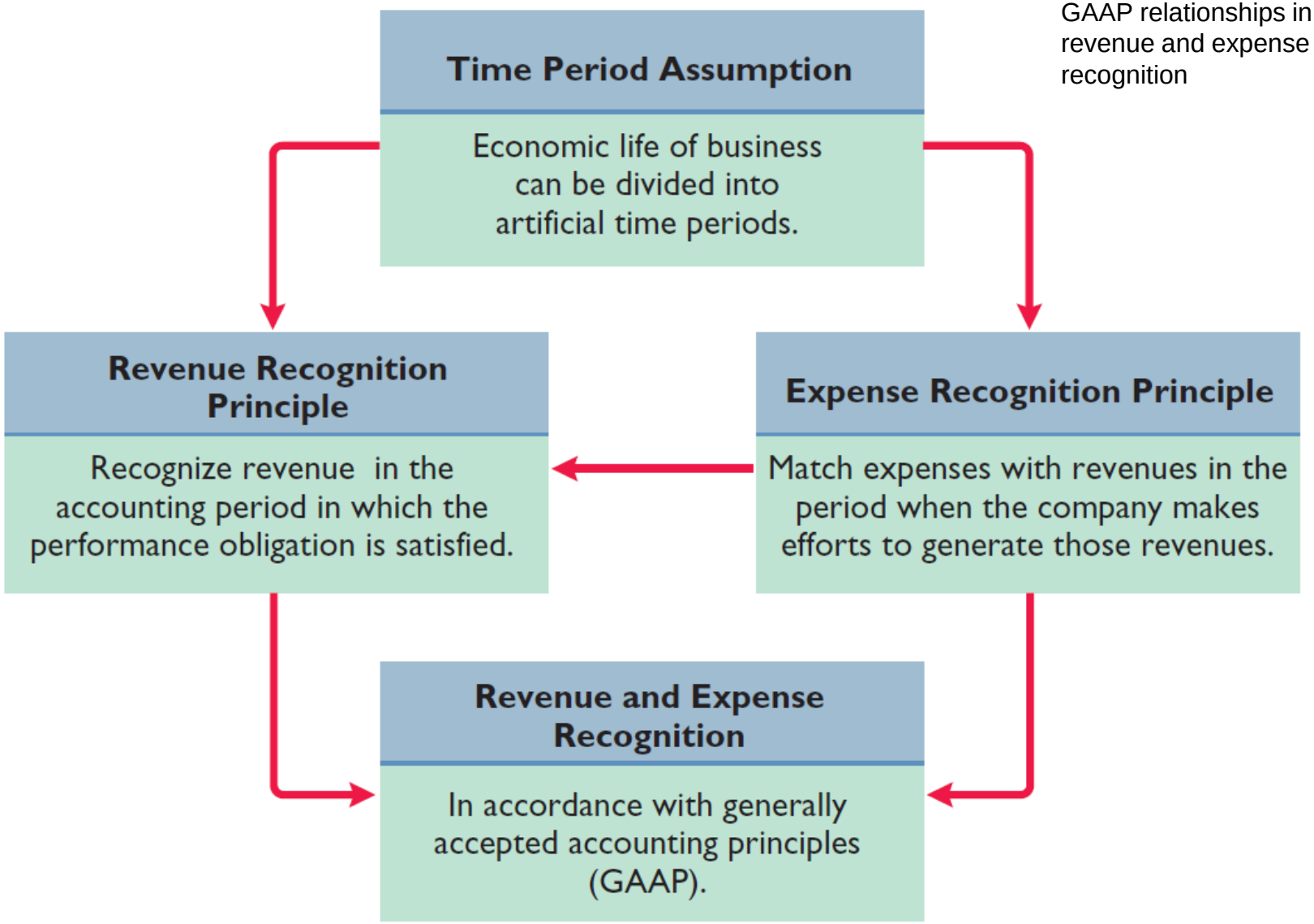
Match expenses with revenues in the period when the company makes efforts that generate those revenues.

"Let the expenses follow the revenues."



LO 1

Illustration 3-1
GAAP relationships in revenue and expense recognition



LO 1

Recognizing Revenues and Expenses

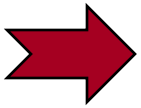
Question

One of the following statements about the accrual basis of accounting is *false?* That statement is:

a. Events that change a company's financial statements are recorded in the periods in which the events occur.

b. Revenue is recognized in the period in which the performance obligation is satisfied.

c. The accrual basis of accounting is in accord with generally accepted accounting principles.



d. Revenue is recorded only when cash is received, and expenses are recorded only when cash is paid.

LO 1

The Need for Adjusting Entries

Adjusting Entries

- Ensure that the **revenue recognition** and **expense recognition** principles are followed.
- Necessary because the **trial balance may not contain up-to-date** and complete data.
- **Required** every time a company prepares financial statements.
- Will include **one income statement account** and **one balance sheet account**.

LO 1

The Need for Adjusting Entries

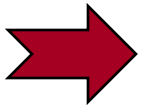
Question

Adjusting entries are made to ensure that:

a. expenses are recognized in the period in which they are incurred.

b. revenues are recorded in the period in which services are performed.

c. balance sheet and income statement accounts have correct balances at the end of an accounting period.



d. all of the above.

LO 1

Types of Adjusting Entries

Illustration 3-2
Categories of adjusting entries

Deferrals	Accruals
1. **Prepaid Expenses.** Expenses paid in cash before they are used or consumed.	1. **Accrued Revenues.** Revenues for services performed but not yet received in cash or recorded.
2. **Unearned Revenues.** Cash received before services are performed.	2. **Accrued Expenses.** Expenses incurred but not yet paid in cash or recorded.

LO 1

Types of Adjusting Entries

Trial Balance – Each account is analyzed to determine whether it is complete and up-to-date.

Illustration 3-3

PIONEER ADVERTISING
Trial Balance
October 31, 2017

	Debit	Credit
Cash	$ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		$ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	$28,700	$28,700

LO 1

DO IT! 1 Timing Concepts

A list of concepts is provided in the left column below, with a description of the concept in the right column below. There are more descriptions provided than concepts. Match the description of the concept to the concept.

1. ___f___ Accrual-basis accounting.
2. ___e___ Calendar year.
3. ___c___ Time period assumption.
4. ___b___ Expense recognition principle.

(a) Monthly and quarterly time periods.
(b) Efforts (expenses) should be matched with results (revenues).
(c) Accountants divide the economic life of a business into artificial time periods.
(d) Companies record revenues when they receive cash and record expenses when they pay out cash.
(e) An accounting time period that starts on January 1 and ends on December 31.
(f) Companies record transactions in the period in which the events occur.

LO 1

LEARNING OBJECTIVE 2

Prepare adjusting entries for deferrals.

Deferrals are **expenses or revenues** that are recognized at a date later than the point when cash was originally exchanged. There are **two types**:

- **Prepaid expenses**
- **Unearned revenues**

Prepaid Expenses

Payment of cash, that is recorded as an asset to show the service or benefit the company will receive in the future.

Cash Payment **BEFORE** **Expense Recorded**

Prepayments often occur in regard to:

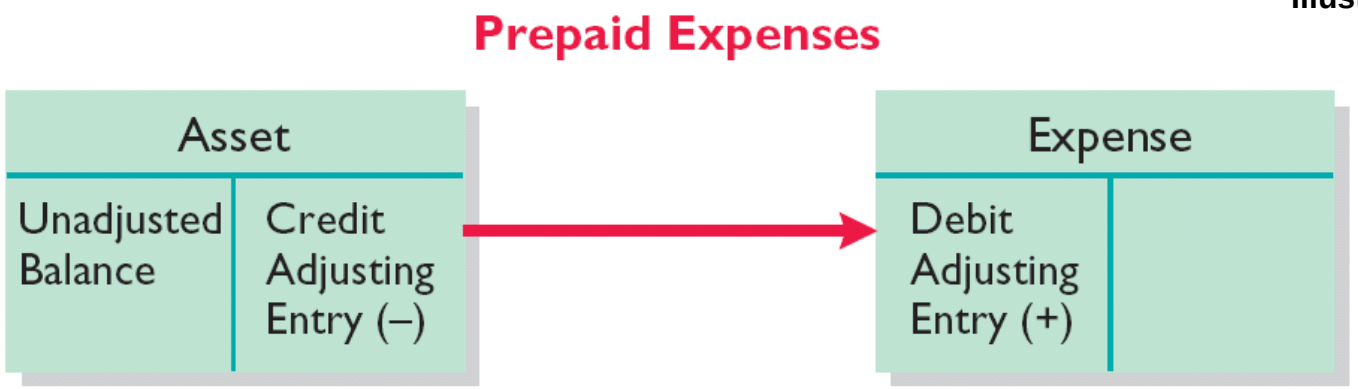
- insurance
- supplies
- advertising
- rent
- equipment
- buildings

LO 2

Prepaid Expenses

- Expire either with the passage of time or through use.
- Adjusting entry:
  - **Increase** (debit) to an **expense account** and
  - **Decrease** (credit) to an **asset account**.

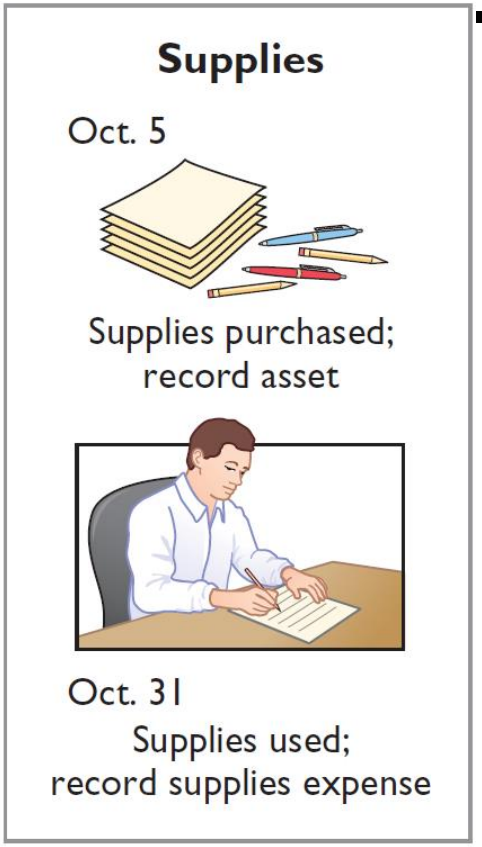
Illustration 3-4



LO 2

Supplies

Illustration: Pioneer Advertising purchased supplies costing $2,500 on October 5. Pioneer recorded the payment by increasing (debiting) the asset Supplies. This account shows a balance of $2,500 in the October 31 trial balance. An inventory count at the close of business on October 31 reveals that $1,000 of supplies are still on hand.



Oct. 31	Supplies Expense	1,500	
	Supplies		1,500

LO 2

Supplies

Illustration 3-5

Basic Analysis

The expense Supplies Expense is increased $1,500, and the asset Supplies is decreased $1,500.

Equation Analysis

(1)	Assets	=	Liabilities	+	Owner's Equity
	Supplies				Supplies Expense
	–$1,500	=			–$1,500

Debit–Credit Analysis

Debits increase expenses: debit Supplies Expense $1,500.
Credits decrease assets: credit Supplies $1,500.

Journal Entry

Oct. 31	Supplies Expense	1,500	
	Supplies		1,500
	(To record supplies used)		

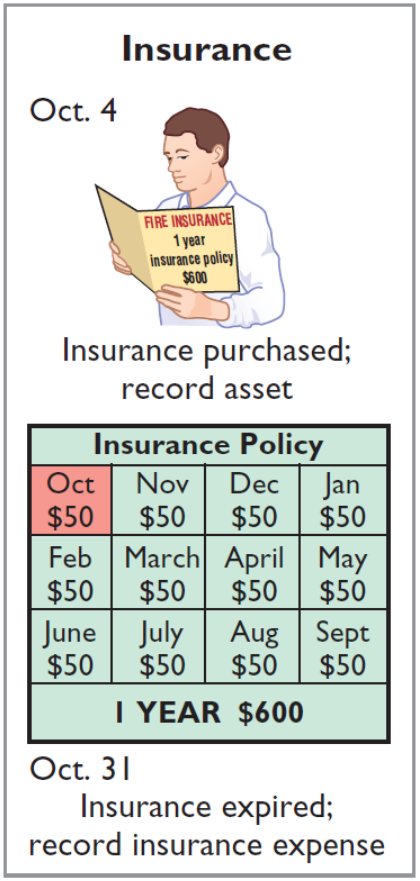
Posting

Supplies				126
Oct. 5	2,500	Oct. 31	Adj. 1,500	
Oct. 31	Bal. 1,000			

Supplies Expense				631
Oct. 31	Adj. 1,500			
Oct. 31	Bal. 1,500			

Insurance

Illustration: On October 4, Pioneer Advertising paid $600 for a one-year fire insurance policy. Coverage began on October 1. Pioneer recorded the payment by increasing (debiting) Prepaid Insurance. This account shows a balance of $600 in the October 31 trial balance. Insurance of $50 ($600 ÷ 12) expires each month.



Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50

LO 2

Insurance

Illustration 3-6

Basic Analysis

The expense Insurance Expense is increased $50, and the asset Prepaid Insurance is decreased $50.

Equation Analysis

(2)

Assets	=	Liabilities	+	Owner's Equity
Prepaid Insurance				Insurance Expense
−$50	=			−$50

Debit–Credit Analysis

Debits increase expenses: debit Insurance Expense $50.
Credits decrease assets: credit Prepaid Insurance $50.

Journal Entry

Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50
	(To record insurance expired)		

Posting

Prepaid Insurance			130
Oct. 4	600	Oct. 31	Adj. 50
Oct. 31	Bal. 550		

Insurance Expense			722
Oct. 31	Adj. 50		
Oct. 31	Bal. 50		

LO 2

Depreciation

- **Buildings**, **equipment**, and **motor vehicles** (assets that provide service for many years) are **recorded as assets**, rather than an expense, on the date acquired.
- **Depreciation** is the process of **allocating the cost of an asset to expense** over its **useful life**.
- Depreciation **does not attempt** to report the actual change in the **value of the asset**.
  - **Allocation concept**, not a valuation concept.

LO 2

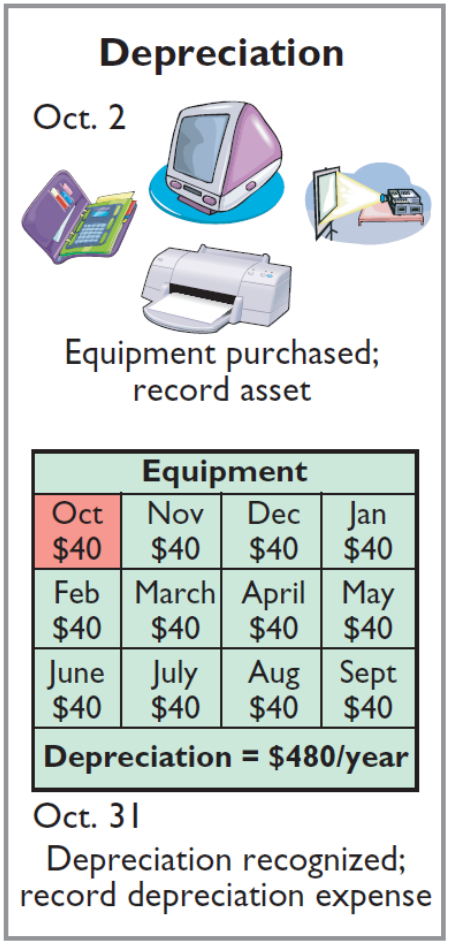
Depreciation

Illustration: For Pioneer Advertising, assume that depreciation on the equipment is $480 a year, or $40 per month.

Oct. 31

Depreciation expense	40	
Accumulated depreciation		40

Accumulated Depreciation is called a **contra asset account**.



LO 2

Illustration 3-7

Basic Analysis

The expense Depreciation Expense is increased $40, and the contra asset Accumulated Depreciation—Equipment is increased $40.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
Accumulated Depreciation—Equipment				Depreciation Expense
−$40	=			−$40

Debit–Credit Analysis

Debits increase expenses: debit Depreciation Expense $40.
Credits increase contra assets: credit Accumulated Depreciation—Equipment $40.

Journal Entry

Oct. 31	Depreciation Expense	40	
	Accumulated Depreciation—Equipment		40
	(To record monthly depreciation)		

Posting

Equipment			157
Oct. 2	5,000		
Oct. 31	Bal. 5,000		

Accumulated Depreciation—Equipment			158
		Oct. 31	Adj. 40
		Oct. 31	Bal. 40

Depreciation Expense			711
Oct. 31	Adj. 40		
Oct. 31	Bal. 40		

LO 2

Depreciation

STATEMENT PRESENTATION

- Accumulated Depreciation is a **contra asset account** (credit).
- **Offsets related asset account** on the balance sheet.
- **Book value** is the difference between the cost of any depreciable asset and its accumulated depreciation.

Illustration 3-8

Equipment	$ 5,000
Less: Accumulated depreciation—equipment	40
	$4,960

LO 2

Prepaid Expenses

Summary of the accounting for prepaid expenses.

ACCOUNTING FOR PREPAID EXPENSES			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Insurance, supplies, advertising, rent, depreciation	Prepaid expenses recorded in asset accounts have been used.	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets

Illustration 3-9
Accounting for prepaid expenses

Unearned Revenues

Receipt of cash that is recorded as a liability because the service has not been performed.

Cash Receipt **BEFORE** **Revenue Recorded**

Unearned revenues often occur in regard to:

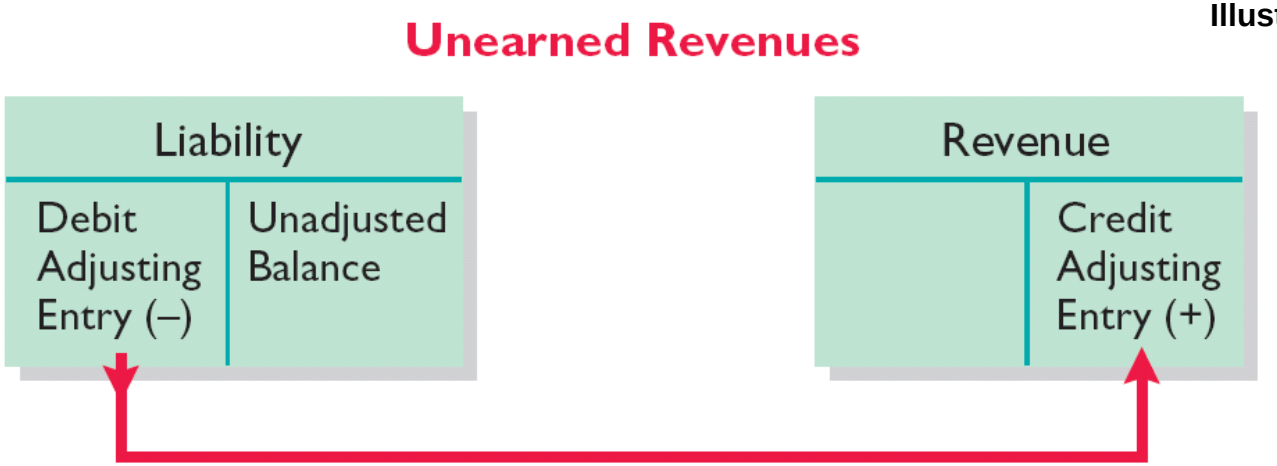
- Rent
- Airline tickets
- Magazine subscriptions
- Customer deposits

LO 2

Unearned Revenues

- Adjusting entry is made to **record the revenue** for services performed during the period and to show the liability that remains at the end of the period.
- Results in a **decrease** (debit) to a **liability account** and an **increase** (credit) to a **revenue account**.

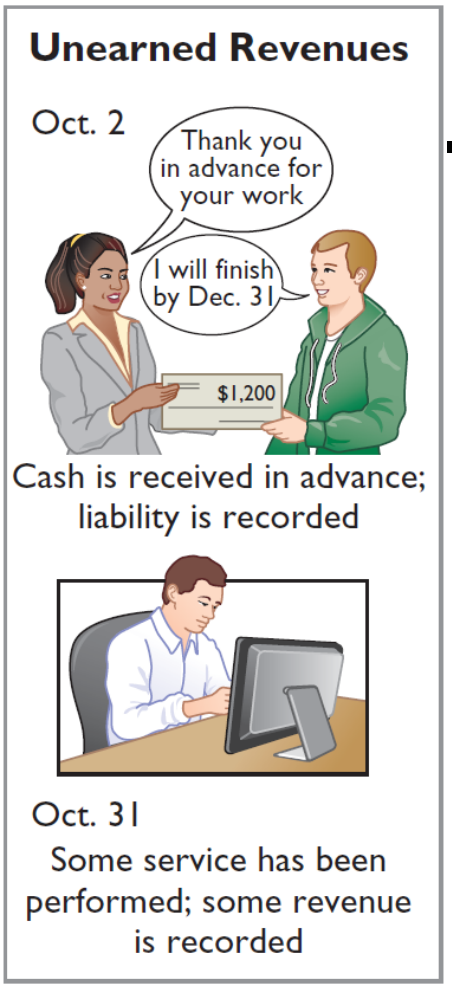
Illustration 3-10



LO 2

Unearned Revenues

Illustration: Pioneer Advertising received $1,200 on October 2 from R. Knox for advertising services expected to be completed by December 31. Unearned Service Revenue shows a balance of $1,200 in the October 31 trial balance. Analysis reveals that the company performed $400 of services in October.



Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400

LO 2

Unearned Revenues

Illustration 3-11

Basic Analysis

The liability Unearned Service Revenue is decreased $400, and the revenue Service Revenue is increased $400.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Unearned Service Revenue		Service Revenue
		−$400		+$400

Debit–Credit Analysis

Debits decrease liabilities: debit Unearned Service Revenue $400.
Credits increase revenues: credit Service Revenue $400.

Journal Entry

Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400
	(To record revenue for services performed)		

Posting

Unearned Service Revenue			209
Oct. 31	Adj. 400	Oct. 2	1,200
		Oct. 31	Bal. 800

Service Revenue			400
		Oct. 3	10,000
		31 Adj.	400
		Oct. 31	Bal. 10,400

Unearned Revenues

Summary of the accounting for unearned revenues.

Illustration 3-12

ACCOUNTING FOR UNEARNED REVENUES			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Rent, magazine subscriptions, customer deposits for future service	Unearned revenues recorded in liability accounts are now recognized as revenue for services performed.	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues

LO 2

LEARNING OBJECTIVE 3

Prepare adjusting entries for accruals.

Accruals are made to record

- **Revenues** for services performed but not yet recorded at the statement date.
- **Expenses** incurred but not yet paid or recorded at the statement date.

Accrued Revenues

Revenues for services performed but not yet received in cash or recorded.

Revenue Recorded **BEFORE** **Cash Receipt**

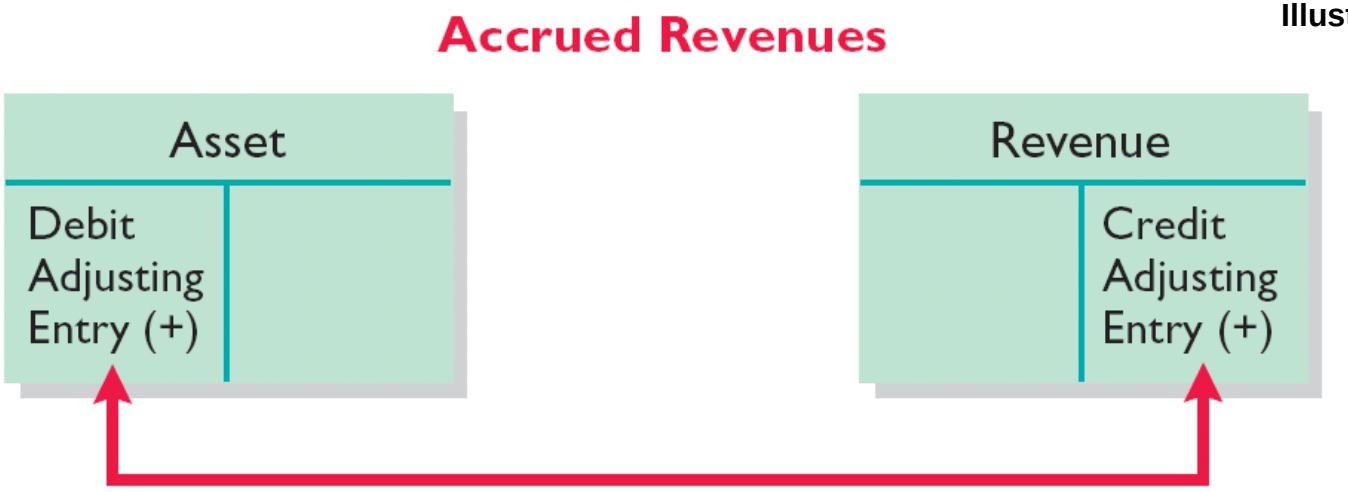
Accrued revenues often occur in regard to:

- Rent
- Interest
- Services

Accrued Revenues

- Adjusting entry shows the **receivable** that exists and records the **revenues for services performed**.
- Adjusting entry:
  - **Increases** (debits) an **asset account** and
  - **Increases** (credits) a **revenue account**.

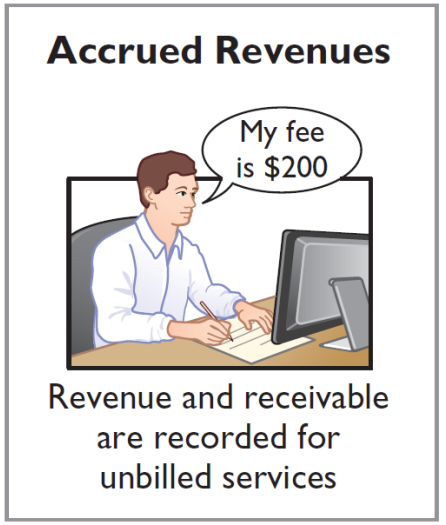
Illustration 3-13



LO 3

Accrued Revenues

Illustration: In October Pioneer Advertising performed services worth $200 that were not billed to clients on or before October 31.



Oct. 31

Accounts Receivable	200	
Service Revenue		200

On November 10, Pioneer receives cash of $200 for the services performed.

Nov. 10	Cash	200	
	Accounts Receivable		200

LO 3

Accrued Revenues

Illustration 3-14

Basic Analysis

The asset Accounts Receivable is increased $200, and the revenue Service Revenue is increased $200.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
Accounts Receivable +$200				Service Revenue +$200

Debit–Credit Analysis

Debits increase assets: debit Accounts Receivable $200.
Credits increase revenues: credit Service Revenue $200.

Journal Entry

Oct. 31	Accounts Receivable	200	
	Service Revenue		200
	(To record revenue for services performed)		

Posting

Accounts Receivable			112
Oct. 31	Adj. 200		
Oct. 31	Bal. 200		

Service Revenue			400
	Oct. 3		10,000
	31		400
	31	Adj.	200
	Oct. 31	Bal.	10,600

LO 3

Accrued Revenues

Summary of the accounting for accrued revenues.

Illustration 3-15

ACCOUNTING FOR ACCRUED REVENUES			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Interest, rent, services	Services performed but not yet received in cash or recorded.	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues

LO 3

Accrued Expenses

Expenses incurred but not yet paid in cash or recorded.

Expense Recorded **BEFORE** **Cash Payment**

Accrued expenses often occur in regard to:

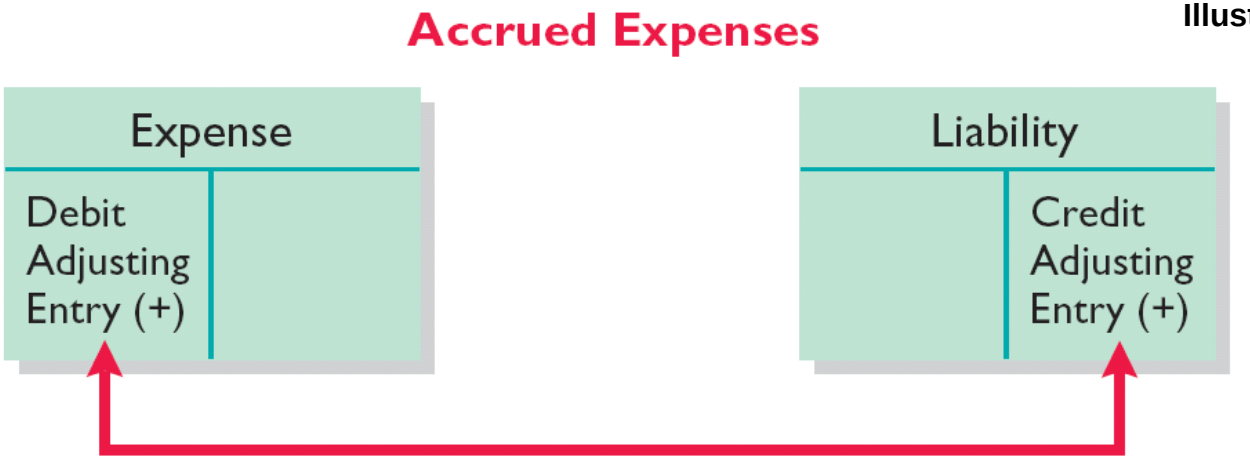
- Rent
- Interest
- Taxes
- Salaries

LO 3

Accrued Expenses

- Adjusting entry records the obligation and recognizes the expense.
- Adjusting entry:
  - **Increase** (debit) an **expense account** and
  - **Increase** (credit) a **liability account**.

Illustration 3-16



LO 3

Accrued Expenses

ACCRUED INTEREST

Illustration: Pioneer Advertising signed a three-month note payable in the amount of $5,000 on October 1. The note requires Pioneer to pay interest at an annual rate of 12%.

Illustration 3-17

Face Value of Note	×	Annual Interest Rate	×	Time in Terms of One Year	=	Interest
$5,000	×	12%	×	$\frac{1}{12}$	=	$50

Oct. 31	Interest expense	50	
	Interest payable		50

LO 3

Accrued Expenses

Illustration 3-18

Basic Analysis

The expense Interest Expense is increased $50, and the liability Interest Payable is increased $50.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Interest Payable		Interest Expense
		+$50		−$50

Debit–Credit Analysis

Debits increase expenses: debit Interest Expense $50.
Credits increase liabilities: credit Interest Payable $50.

Journal Entry

Oct. 31	Interest Expense	50	
	Interest Payable		50
	(To record interest on notes payable)		

Posting

Interest Expense			905
Oct. 31	Adj. 50		
Oct. 31	Bal. 50		

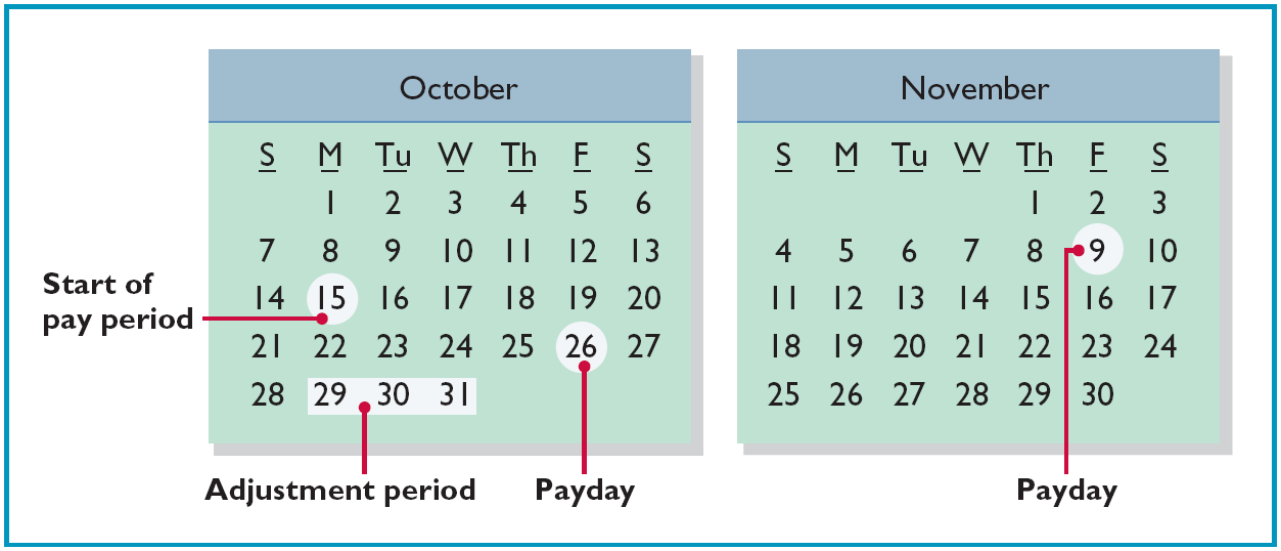
Interest Payable			230
		Oct. 31	Adj. 50
		Oct. 31	Bal. 50

Accrued Expenses

ACCRUED INTEREST

Illustration: Pioneer Advertising paid salaries and wages on October 26; the next payment of salaries will not occur until November 9. The employees receive total salaries of $2,000 for a five-day work week, or $400 per day.

Illustration 3-19



LO 3

Accrued Expenses

Illustration 3-20

Basic Analysis

The expense Salaries and Wages Expense is increased $1,200, and the liability account Salaries and Wages Payable is increased $1,200.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Salaries and Wages Payable		Salaries and Wages Expense
		+$1,200		−$1,200

Debit–Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense $1,200.
Credits increase liabilities: credit Salaries and Wages Payable $1,200.

Journal Entry

Oct. 31	Salaries and Wages Expense	1,200	
	Salaries and Wages Payable		1,200
	(To record accrued salaries and wages)		

Posting

Salaries and Wages Expense 726

Oct. 26		4,000	
31	Adj.	1,200	
Oct. 31	Bal.	5,200	

Salaries and Wages Payable 212

		Oct. 31	Adj. 1,200
		Oct. 31	Bal. 1,200

Accrued Expenses

Summary of the accounting for accrued expenses.

Illustration 3-21

ACCOUNTING FOR ACCRUED EXPENSES			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Interest, rent, salaries	Expenses have been incurred but not yet paid in cash or recorded.	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

LO 3

Summary of Basic Relationships

Illustration 3-22

Type of Adjustment	Accounts Before Adjustment	Adjusting Entry
Prepaid expenses	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets
Unearned revenues	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues
Accrued revenues	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues
Accrued expenses	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

LO 3